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CONTINUOUS ASSESSMENT I

Strategic HRM Case Study Report

Reducing Employee Attrition at AutoMan Works:
A Strategic Human Resource Management Perspective

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ABSTRACT

This case study focuses on the strategic human resource dilemma of high and persistent employee attrition faced by auto part industry, using AutoMan Works (a fictitious name used for a mid-sized automobile component manufacturing company with two production units operating in India) as an example. Its attrition rate is around 35% overall and approaches 50% at new, satellite facility Unit 2 just outside the main plant there (Unit 1)- some 15 kilometres away. Such levels of turnover are much more than an operational nuisance; they are a strategic failure at the core of the HR systems that do not allow for HR platforms to sync with the actual experiences of frontline employees.

Using tried and true SHRM frameworks such as Harvard Model of HRM, the Best-Fit Contingency Approach, the Ability-Motivation-Opportunity (AMO) Model & the Resource-Based View (RBV), this report turns a systemic lens on attrition reasons and progresses through a logical process providing evidence that organizations, structures and managers are all cause. It also offers evidence-based, context-specific strategic solutions which move beyond band-aid approaches to tackle the underlying causes of workforce instability.

It is found that the translocation of workers to Unit 2 without adequate remuneration considerations, movement assistance or psychological readiness was the main cause of dissatisfaction. On their own, poor training systems, an overly rigid and unfair pay structure with no continuous performance feedback, and sub-par shift communication all eroded employee engagement but together accelerated exit decisions. The proposed Recommenders — structured provision of transport, competency-based pay reform, mentorship-integrated training, participative performance management and a digital shift communication system — are based both on the soundness of theory and practical applicability within a manufacturing environment.

Keywords: *Employee Attrition, Strategic HRM, AutoMan Works, AMO Model, Resource-Based View, Best-Fit HRM, Manufacturing HR, Retention Strategy, Workforce Stability*

1. Introduction to the Case and Problem

In contemporary manufacturing, machine, capital or technology are not the source of competitive advantage of a company, but human capital. The machine is not going to operate at its full potential unless an experienced brain with the right hands operates it. Consequently, the stability of a workforce is not only a human resource problem but also an organizational problem.

The knowledge, relationships, skills and organisational memory that leave with people when they exit a company will not be easy to replace or will come at a cost. Moreover, the costs for recruiting, selecting, inducting, and training replacements are usually excluded from mainstream costing. Nevertheless, in the long run, these expenses can considerably impact the organization's profitability, productivity and performance. Furthermore, the strategic failure of HR policies causes employee attrition, which is the most common and costly occurrence. When people leave the organisation voluntarily, it is known as attrition.

AutoMan Works is a mid-sized automobile components manufacturer with two production units and 800 employees. It is in precisely this situation. Around 35% is the overall attrition rate and nearly 50% in the recently launched Unit 2. These are not just numbers. It is a tangible disruption in day-to-day functioning, deterioration of team spirit, increase in burden and load on the remaining people, and relentless deterioration of organizational capability.

This very crisis was exacerbated after the companies 2025 expansion, in which about 200 workers were moved more than fifteen kilometres at rural site from unit 2 with little planning over transport or financial compensation to deal with increased commuting costs and a lack of any formal transition support. However, what started off as a business decision to enhance capacity became disruptive to the daily routines of one employee and tiring in terms of work-life balance daily and too loud a message that well-being is no longer an organizational priority. This dissatisfaction has translated to high attrition rates at Unit 2.

All of these ways are examples of a well-structured analytic approach to diagnosing the root causes of attrition at AutoMan Works. It contextualizes the organizational challenges using established Strategic HRM theories, critiques existing HR practices to determine their sufficiency in addressing attrition and satisfaction levels, and devises a complete set of strategic recommendations aimed at reducing attrition, improving employee satisfaction that enables long-term workforce resilience. The analysis acknowledges that, to aid those efforts, we need to get below the symptoms and read very much in terms of structural, motivational and organizational failures which create them.

2. Company Profile and Background Research

2.1 Company Overview

AutoMan Works is a mid-sized automobile components manufacturing company that has consistently grown over the last twenty years, growing from a small workshop to an organization having around 800 employees in two different plants. It engineers gearboxes and precision components sold to major automaker companies operating in India and outside of the country.

The point where the main production unit is located, which has traditionally been a key operational advantage for them as well, is located in town. For years, short commute times, a reasonable work-life balance and the illusion of stability all served to provide employees with a degree of tenure and contributed to voluntary turnover being at an all-time low. The company became known as a decent and unexciting employer in its area.

But in 2025, the company set up a much larger Unit 2 about 15 kilometres from its headquarters on the outskirts of town in a semi-rural area. The purpose, they said, was to expand production capacity by approximately 40% and meet higher market demand. The business justification was valid but the move itself overlooked the human elements inherently linked to transitioning at scale in a workforce scenario. Around 200 workers were moved into Unit 2 without transport, place-to-live incentives or psychosocial support structured around the transition. That decision created the circumstances that brought on the attrition catastrophe of today.

2.2 Existing HR Practices

Such an honest appraisal of AutoMan Works' HR system shows that the present HR system will be adequate for a simpler, and stable mode of operation, but will be grossly inadequate for a rapidly growing and geographically dispersed workforce. The deficiencies in HR practice are:

Recruitment and Onboarding:

Staffing of AutoMan Works is only done on an as-needed basis, and no long-term assessment of needs is conducted. The company advertises jobs in newspapers, hires based on local recommendations, and accepts walk-in applications. It does not test the skills of job applicants. There is no behavioral interviewing. There is no structured assessment of the fit between the candidate and the organization. Onboarding entails a 15-minute presentation on safety and expectations of the role, though it does not consider contextual information or social support for new employees.

Training and Development:

The sole training activity undertaken at AutoMan Works is their onboarding training. There are no programs on skills upskilling, technical upskilling, or leadership capabilities. As processes and technologies evolve, workforce skills become less suitable for modern manufacturing

environment. An employee who works on the same task without any variety forever, with no opportunity to apply additional skills, is often bored, and research correlates this with disengagement and voluntary turnover.

Compensation and Benefits:

The pay structure is fixed and tenure-based, with the annual raise guided by the calendar rather than performance or contribution. Arguably worse, the construct does not take differential working conditions between units into account. There are absolutely no compensatory allowances, travel benefits or location-sensitive adjustments for employees at Unit 2 who incur much higher commuting costs, take longer to reach work and suffer greater physical fatigue. The sense of unfairness is a major cause of frustration for workers in Unit 2.

Performance Management:

Moving to performance evaluation — at AutoMan Works, we conduct performance evaluations annually and largely measure attendance and volume of output. They lack a continuous feedback loop, there's no direct connection between demonstrated performance and real compensation, and they do not include employee participation as part of the process.erformance evaluation at AutoMan Works is an annual exercise that assesses employees largely on the basis of attendance and output volume. There is no mechanism for continuous feedback, no clear linkage between demonstrated performance and tangible rewards, and no participatory element that allows employees to engage meaningfully in their own development. This approach produces a disconnected and demotivated workforce that feels neither seen nor valued.

2.3 Industry Background Summary

The automotive parts and manufacturing sector of India is a mainstay of India's industrial economy as it generates roughly 2.3 percent of India's Gross Domestic Product (GDP), thus, provides employment either directly or indirectly to millions of people. The growing demand for domestically made vehicles, and opportunities for exports are factors contributing to the growth of the sector. Additionally, the continuing trend toward electrifying vehicle platforms will further support growth in the sector.

However, the increase in domestic vehicle demand is increasing pressure on auto part suppliers to compete. As such, organizations are constantly trying to improve quality, reduce their lead time, and lower costs - all of which depend upon an efficient and effective production process driven by a skilled, productive, and stable work force. High levels of employee turnover (or attrition) can create significant barriers to improving efficiency and productivity in a knowledge-based economy, as it creates a number of skill gaps within employees; leads to inconsistent operation processes across different departments or plants; and increases an organization's "hidden" costs associated with replacing departing employees. Thus, there are both direct and indirect effects on the ability of individual companies to compete due to high levels of employee attrition. Industry statistics show that employee attrition in the manufacturing sector in India consistently runs between 15-25% per year with some sectors and/or geographic areas having significantly higher rates than others. At AutoMan Works, the company experienced annual employee attrition rates ranging from 35-50%. This is a level of employee loss that is above what is typical for many other manufacturing-based companies in the automotive parts sector, thus presents a crisis situation requiring immediate action.

4. Detailed Analysis of HR Issues Using SHRM Concepts

4.1 High Attrition as a Strategic Failure

In addition to its role in creating competitive disadvantages for AutoMan Works, the high rates of turnover at Unit 2 are representative of a series of strategic errors made by the company. These errors include poor recruiting practices, inadequate training programs, ineffective performance evaluation systems, limited opportunities for advancement, and poorly managed labor relations issues. The high levels of turnover at Unit 2 can be attributed to multiple problems within the company. When considered collectively, however, the problems identified above reveal a consistent theme throughout the entire operation -- failure to create a work environment in which employees wish to stay.

For example, the decision to relocate approximately 200 employees from one location to another without making adequate arrangements for providing employees with access to public transit resulted in an additional barrier for employees wishing to continue working for AutoMan Works. Similarly, the lack of any form of salary adjustments for those employees who were relocated created added stress for those employees who did not receive raises after relocating. Finally, the relocation was made without providing any social support services to assist employees in adjusting to the changes that occurred due to the relocation. Therefore, from an AMO model perspective, AutoMan Works has directly suppressed employee motivation by failing to provide an attractive work environment.

The initial loss of employees as a result of the high rate of employee attrition at AutoMan Works will create additional problems for the company. Teams at Auto Man works experience excessive employee turnover; therefore, it is extremely difficult for these teams to establish the level of coordination and communication that is required for high performance production. Employees that have been employed by the company for an extended period of time, but continue to be employed by the company will bear an undue burden. They will be responsible for managing their respective job duties in addition to inducting their new colleagues into their respective positions. This will also require them to absorb the added workload resulting from the lost productivity associated with training new employees. As time progresses, this can lead to a situation where even those employees who were committed to continuing to work for the company will start to wonder whether it is feasible for them to do so. This leads to a self-feeding cycle of attrition that has negative impacts on the ability of the company to attract and retain quality employees.

4.2 Recruitment Misalignment

At present, the recruitment strategy employed by Auto Man Works does not adequately prepare the workforce to meet the needs of the company's growth. While many companies utilize both formal and informal methods when recruiting candidates, Auto Man Works relies heavily upon informal channels. Moreover, due to the nature of the company's rapid placement methodology, the candidates recruited by Auto Man Works are generally not aligned with the company's needs. The alignment issues include the requirements of each role, the organizational culture and the operational requirements of each work site.

Therefore, when candidates hired via such a haphazard process discover that their commute is longer than anticipated, they are more likely to leave the company shortly after beginning their new jobs. From a "best fit" perspective, the recruitment strategy used by Auto Man Works does not account for the unique characteristics inherent within a multi-site environment (i.e., two sites). For example, a candidate who is well suited for one site may not be inclined to remain employed at another site unless he/she receives some form of incentive(s) or other types of supportive mechanisms. Since there are no forms of location-specific messaging provided during the recruitment process nor are roles clarified or candidates screened to determine whether they would tolerate commuting long distances; the organization consistently recruits individuals who are most likely to leave. As a result, what was intended to be a form of recruitment expense becomes an ongoing expense as opposed to being viewed as an investment designed to build talent for future use.

4.3 Training Deficit and Skill Stagnation

In terms of a structural deficiency, the lack of continuous training beyond an initial induction into work has serious implications across several levels within an organization. According to the Resource-Based View (RBV) theory, skills and competency represent the raw materials for achieving a sustainable competitive advantage. If a company commits little or no resources toward building the human capital of its employees, then they are essentially allowing their competitive resource base to atrophy and disintegrate over time.

AutoMan Works employees denied career development opportunities experience what is termed "career plateaus" by Organizational Psychologists, which is characterized by decreased job engagement, organizational commitment and increased intentions to leave their current employer. In a manufacturing workplace environment, where continuous process improvement, technological upgrades and quality standardization occur, an unlearning workforce is becoming progressively less competitive. As a result, the organization suffers from lost competitive capabilities while employees suffer from loss of career motivation, a combination of factors that clearly accelerate employee turnover.

4.4 Inequitable Compensation Architecture

The compensation architecture at AutoMan Works fails on two dimensions: it does not sufficiently recognize employee contributions through rewards based upon performance and it does not account for differences in working conditions. These dual shortcomings create a very strong perception of injustice among employees at AutoMan Works, especially those stationed at Unit 2.

While Adams' Equity Theory is not the major theoretical foundation for this study, it offers some useful explanations in relation to the present issue. Employees assess whether they believe their compensation is fair by evaluating their personal ratio of input-to-outputs relative to reference peer(s). A worker who commutes 15 km each day, incurs additional transportation expenses and experiences more fatiguing conditions than his/her colleague at the main facility — yet receives equivalent pay — will naturally believe that he/she is being treated unfairly. Research has demonstrated repeatedly that perceived compensation inequities have a strong association with employee's intentions to voluntarily terminate employment (Wright et al., 1994).

4.5 Deficient Performance Management

The company’s yearly evaluation of employee performance based on attendance, productivity and other output measures reflects an outdated organizational need for Performance Management and is not in compliance with the SHRM Best Practice. In addition to being a method of providing employees with constructive and developmental information regarding their performance (Ability) performance management also serves as a mechanism for linking employee input/output to rewards (Motivation). Further, effective performance management processes provide avenues for employees to participate in decision making related to their job responsibilities and work environment (Opportunity).

The AutoMan Works process does not achieve any of the above results. Employees that continue to be productive are never recognized by their supervisors. Additionally, employees experiencing difficulties are provided no feedback from their managers or supervisors until the employee has made a decision to leave.

This lack of continuing communication with all employees leads to organizational problems; e.g., low morale, disengaged employees, and relocation issues not surfacing until the employee has made a decision to leave the company thereby eliminating opportunities for companies to correct problems prior to losing good employees.

3. Literature Review: SHRM Theories and Frameworks

A theoretical view of the AutoMan Works issue will require an analysis using four key strategic human resource management models/frameworks; namely the Harvard model, the contingency approach to strategy, the AMO model and the RBV. Together these provide the conceptual base for each of the recommendations that are offered below.

3.1 The Harvard Model of HRM

Developed by Beer et al. (1984), the Harvard Model suggests that HR policies can only be successful if responsive to both stakeholders' interests and situational factors. According to the Harvard Model, the situational pressures on an organization will jointly affect the success of HR policy decisions relative to the quality of those decisions and their resultant HR outcomes (employee commitment, competence, congruence, and cost-effectiveness). Additionally, the Harvard Model also argues that when there is a significant change in an organization's situational context (i.e. geographic expansion; workforce growth; changes in markets, etc.), its HR policies should evolve simultaneously.

It is clear at AutoMan Works that there was a failure of the Harvard Model regarding the lack of HR Policy Evolution after expanding into Unit 2. Although the situational context at AutoMan Works significantly changed after establishing Unit 2, the organization did not evolve its HR Architecture during the same time frame. As employees were experiencing many challenges (newly long commutes, higher expenses, unfamiliar work locations, etc.) due to the Unit 2 establishment, the company had no HR policy changes in place to respond to these new challenges for the employees. In the opinion of Beer et al. (1984), this lack of response from management has resulted in the lower-than-expected levels of commitment, disengagement and departure behaviours presently occurring.

3.2 The Best-Fit (Contingency) Approach

AutoMan Works uses a single HR process for two entirely dissimilar operational settings. AutoMan Works has a primary site with proximal benefits from being close to customers and having a pre-existing work force environment. This primary unit will require the same type of HR responses as the secondary unit. Secondary Unit 2 operates in a geographically isolated area, has new employees and also creates unique problems related to the operational setting. Therefore, it requires a separate set of policies and procedures to meet the needs of employees working at this unit. A failure to create a distinction in how policies are designed for each unit represents another example of a "Best Fit" failure (Boxall & Purcell, 2003), where HR practices do not fit the variable conditions present at Unit 2, which results in what should be expected: low job satisfaction and employee turnover.

AutoMan Works applies an identical HR framework across two fundamentally different operational contexts. The main unit, with its proximity advantages and established workforce culture, requires one set of HR responses. Unit 2, with its remote location, newer workforce, and unique practical challenges, demands a distinct and tailored approach. The failure to differentiate policy design across units is a textbook Best-Fit failure — HR practices are misaligned with the contingent realities of Unit 2, producing predictable dissatisfaction and attrition (Boxall & Purcell, 2003).

3.3 The Ability-Motivation-Opportunity (AMO) Model

The AMO Model was developed by Appelbaum et al. (2000), but has since been expanded upon by many other researchers. As such, the AMO Model provides an extremely useful analytical tool when attempting to understand why employees are performing well or poorly, and/or why they remain committed to their employer or depart from their employment. The AMO Model describes three necessary conditions for effective employee performance and long-term organizational commitment. These three required conditions include: (1) Employees must possess sufficient Ability to perform their jobs effectively (i.e., employees must have sufficient skills and knowledge); (2) Employees must be sufficiently Motivated to expend time and effort on their job tasks (e.g., through fair wages, equitable treatment, adequate compensation, opportunities for advancement, etc.); and (3) Employees must have sufficient Opportunity to apply their skills and abilities toward achieving the goals of their organization (e.g., through participation in decision-making processes, autonomy, opportunities for learning, etc.).

When mapping the current operational context of AutoMan Works to the AMO Model, several areas exist that demonstrate serious deficits across all three of these areas. First, no formal training programs exist for employees within the company. Second, salaries vary significantly among departments and between employees doing similar work. Third, there appears to be little recognition provided to employees who exceed expectations. Fourth, employees appear to receive very little if any feedback regarding their performance. Fifth, employees do not have available to them any participative avenues for expressing their views on organizational issues. Sixth, no career development paths seem to be available to employees. It is predicted by the AMO Model that the identified problem would occur in an organizational system. Therefore, it is reasonable to expect that AutoMan Works currently employs a disengaged work force that is capable of performing below expectations due to the lack of ability development opportunities, inadequate motivation due to inequitable compensation practices, poor working conditions, and lack of recognition for outstanding performance.

3.4 The Resource-Based View (RBV) of HRM

Based on strategic management theory by Barney (1991) and extended to the field of HRM by Wright, McMahan & McWilliams (1994), the resource-based view argues that a sustainable competitive advantage results from organizations possessing certain types of resources (valuable, rare, imitable and substitutable) that provide long-term competitiveness. This type of competitive advantage can be derived from the most important asset of many firms – their human capital. That is, the sum total of skills, knowledge, experiences and commitment that employees bring to an organization cannot be easily replicated by other companies.

Therefore, it can be argued that from an RBV perspective each time an experienced employee departs from AutoMan Works, the company loses some irreplaceable competitive advantage. Each departing employee takes with them the accumulated knowledge about how to operate, how familiar they were with machines in use at the workplace, the social connections they had developed with their colleagues, and all the know-how regarding processes involved in carrying out tasks. All of this accumulated knowledge is lost when an experienced employee leaves, and there is no easy way to replace what has been lost through training programs. For example, if an auto parts manufacturing facility in Canada employs highly skilled machinists who have worked together for several years, replacing one of these skilled workers will take longer than it would to replace a less-skilled worker. In addition, while less-skilled workers may be able to learn quickly enough to meet production needs over a short period of time, it is unlikely that they could develop the same level of quality standards and productivity levels achieved by their more-experienced counterparts. As such, high rates of turnover do not just represent a significant economic burden for employers – they also reduce a firm’s ability to gain a sustained competitive advantage. From this perspective, employee retention is viewed as being much more than simply a welfare issue related to retaining valued employees. Rather, employee retention is seen as an investment in developing the assets necessary to achieve competitive advantages (Barney, 1991; Wright et al., 1994).

5. Proposed Strategic HR Solutions and Recommendations

These recommendations reflect a theory-based, contextual approach. They are tailored to the AutoMan Works' operations (a middle size manufacturer with a small number of employees) and will be phased in over time to produce initial successes, which will provide additional motivation for further transformation.

Recommendation 1: Introduce Structured Transport and Relocation Support for Unit 2

AutoMan Works' most direct opportunity to positively address employee dissatisfaction lies within providing an organized method for employees assigned to work at Unit 2 to travel to Unit 2. This could be accomplished through either designated company buses traveling regularly scheduled routes between the main production area and Unit 2, or through a reimbursement structure allowing employees to pay their own commuting expenses and have them reimbursed by the company.

This recommendation is consistent with the principle of stakeholder responsivness identified in the Harvard Model (1984), and aligns drawing on AMO Model rationale that motivation cannot be maintained if hardhip remains unchecked. Transport support takes a major daily load off, lessens physical stress and matters of punctuality while — and perhaps most significantly — also sending the message that the organisation cares and is conscious about what employees have sacrificed. Research in the field of organizational psychology has continuously shown that perceived organizational support (POS) is one of the most powerful predictors for employees to seek commitment from and remain within an organization (Beer et al. 1984).

And the company ought to look at a formal Unit 2 Relocation Allowance — a single payment apology for employees they relocated without sufficient advance investment. Such a compensatory act properly responds to lingering grievances, and shows institutional responsibility.

Recommendation 2: Redesign Recruitment Toward Quality and Contextual Fit

The recruitment process needs to shift the approach from being reactive and volume driven, to be strategic and quality focused on long-term person-organization fit. Practically, this requires several changes. For every position, particularly for Unit 2 positions, job ads and all communications with candidates should contain clear descriptions of the working conditions; the location, shift patterns and commuting required. This transparency isn't simply ethically responsible, but it does serve a strategic purpose, in that it effectively narrows candidates to those who are either willing or able to remain employed under those terms.

Selection should include job-relevant pre-employment skills testing (structured assessments), as well as behavioural interviewing questions intended to gauge the applicant's adaptability, resilience and work preferences. Transitioning from a basic safety orientation program to an official onboarding program that also focuses on role familiarity, team introductions, buddy pairings with experienced employees, and a 30-60-90-day integration roadmap — would substantially reduce early-stage attrition, which currently inflates the overall turnover figure.

At a Best-Fit level, recruitment needs to be separately constructed for the main Unit and then for Unit 2, since each site has independent needs/challenges/value propositions which are attractive to potential applicants (Schuler & Jackson, 1987).

Recommendation 3: Build a Continuous Learning and Development Architecture

AutoMan Works is required to fund a formal, tiered training and development structure that should happen outside of onboarding stage. The framework must cover three levels Foundations: Technical training that, at a minimum, ensures that all employees in an organization possess the fundamental skills necessary to perform their current role; Developmental: Skills Training that builds general competencies (such as troubleshooting of machines and equipment technicalities, batch quality inspection & process optimization); Leadership Pipeline: Identifying high potential employees preparatory for supervisory/managerial roles.

The RBV framework clarifies that investment in skills is not a discretionary welfare cost but rather an essential competitive capability investment (Barney, 1991). Optimising for operational quality and standardisation, while offering employees visible trajectories for skill enhancements to drive retention motivation and equipping the organisation with the capabilities required for sustainable execution would be a structured learning architect.

Introducing mentorship pairings — pairing newer or lower-skilled employees with experienced counterparts — would further enhance the skills transfer, while simultaneously creating stronger interpersonal ties and identification with the organization. He purposefully links both to decrease voluntary turnover in manufacturing contexts.

Recommendation 4: Reform Compensation to Reflect Performance and Context

Philosophically and structurally, the compensation architecture at AutoMan Works will also require transformation. On the philosophical level, they must abandon the idea of compensation as a function of tenure and instead adopt a prescription that ties it to performance, contribution, and contextual exigencies. What this means structurally, is two simultaneous reforms: a performance-linked pay component based on demonstrated contribution; and a location-sensitive allowance structure that provides just compensation for additional burdens borne by Unit 2 employees.

This means implementing a transparent pay communication framework — one that clarifies how pay is determined, what employees must do to progress and how location allowances are calculated. The AMO Model establishes that motivation is held high only if employees are convinced of a clear and logical link between effort and reward (Appelbaum et al., 2000). Compensation structures that are opaque, even if the underlying figures are objectively fair, elicit a real disengagement reaction just as genuine inequity does.

As a short-to-medium term step the company should undertake a formal compensation benchmarking exercise against sector norms for similar roles in the region to ensure that the organization is paying at or above market levels to decrease appeal for external rosters.

Recommendation 5: Implement a Continuous Feedback and Employee Voice System

Moving performance management from an annual bureaucratic tick-the-box exercise to a dynamic, continuous dialogue is one of the most impactful steps that AutoMan Works can take. Regularised monthly one to ones between supervisors and team pairs that are diarised — not only discussing output metrics but employee experience, hurdles, motivation and wellbeing — would develop the feedback infrastructure identified by the AMO Model as core to sustainable performance and commitment.

In addition to formal check-ins, there should be an anonymous employee voice mechanism — a digital or paper-based channel where employees can voice their concerns, make recommendations and report issues without the potential or fear of being identified or punished. Employee voice serves as a critical stakeholder management tool under the Harvard Model framework that helps organizations prevent problems from converting into turnover decisions (Beer et al. 1984).

Training supervisors and team leaders in fundamental coaching and active listening skills should also be a priority within the organization. Line Supervisors are the Day-to-Day Interface between Organisational Policy and Employee Experience in Manufacturing Environments. Supervisors who spot early signs of disengagement and intervene appropriately can avert the vast majority of voluntary exists.

Recommendation 6: Standardize Shift Communication and Operational Continuity Protocols

Blood sweat tears later, you have a concrete, solvable problem that is already escorted in the human resource world as a higher picture and more chronic issue: operational disruption related to poor handover communication. This is where AutoMan Works should consider adopting a standardised digital shift handover process by using either a purpose-built manufacturing operations platform or an adapted general-purpose tool, increasing both accountability and clarity with the requirement that each outgoing shift records machine status information, production progress to date, outstanding issues and pending actions before sign-off.

Approaching this process with some standardization removes the knowledge dependency from specific knowledge holders which is critical in a high turnover environment and at risk of constant breeches into institutional knowledge. It also lessens the mental burden of incoming shift employees, resulting in fewer errors and less anxiety stemming from operational ambiguity. This is a strategic HR view and including systems designed to reduce operational stress as an enhancement of working conditions contributes, at scale, to employee satisfaction and retention.

6. Conclusion

Such an employee attrition challenge at AutoMan Works is neither random nor unavoidable in a competitive labor market. It is the inevitable result of identifiable strategic HR mistakes — mistakes in setting direction, addressing stakeholders, investing resources, and core organizational processes. The silver lining in this analysis is that if failures are predictable, at least they are a type of failure we can fix.

The theoretical frameworks applied in this report — the Harvard Model, Best-Fit Approach, AMO Model, and Resource-Based View — converge on a consistent set of insights: that HR policies must be responsive to changing organizational contexts; that different employee groups in different situations require tailored, not standardized, HR responses; that motivation, ability, and opportunity must all be simultaneously supported for employees to remain engaged and committed; and that experienced employees are irreplaceable strategic assets whose retention is a competitive necessity.

The six recommendations advanced in this report — structured transport support for Unit 2, quality-oriented recruitment reform, a continuous learning architecture, performance-reflective and context-sensitive compensation reform, a continuous feedback and employee voice system, and standardized shift communication protocols — are not isolated interventions. They form an integrated, mutually reinforcing strategy for rebuilding employee trust, satisfaction, and commitment at AutoMan Works.

The implementation of these recommendations will require sustained management commitment, careful sequencing, and ongoing monitoring. Progress should be tracked through quarterly attrition reports, employee engagement surveys, and operational performance metrics. The organization should set a realistic but ambitious target: reducing overall attrition to below 20% within 18 months, with Unit 2 rates approaching those of the main unit within 24 months.

In the longer arc of organizational development, the actions taken by AutoMan Works in response to its current crisis will shape not just its attrition statistics but its fundamental identity as an employer. Organizations that demonstrate genuine care for their employees — that listen, respond, invest, and improve — build the kind of workplace cultures in which people choose to stay, perform, and grow. That cultural foundation, once established, becomes itself the most durable source of competitive advantage that any organization can possess.

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All references are formatted in accordance with the American Psychological Association (APA 7th Edition) style.

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